

HEADS DOWN TO HEADS UP

Weekly Intelligence Brief

Happenings in AI last week, and what they mean for your business.

ISSUE

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PREPARED FOR

Incserve

Corporate Compliance & Registered Agent

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ANNOUNCEMENTS

WHAT IT MEANS

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1 US Export-Control Order Forces Anthropic to Switch Off Fable 5 and Mythos 5 Worldwide

Fortune, Axios, Al Jazeera, June 13

The Commerce Department invoked national-security export-control authority to bar Anthropic from making its two most powerful models available to any foreign national, including non-citizen employees inside the United States. Because Anthropic cannot verify nationality in real time, it disabled both models for every customer worldwide within hours. The order landed three days after the models launched as the industry's most celebrated release.

For the first time a government, not a vendor, decided who may use a frontier model, turning access into an instrument of state power. Any organization depending on a single frontier vendor now carries geopolitical and regulatory availability risk that can remove capabilities overnight, regardless of contract terms.

IN PLAIN TERMS

Like a government suddenly revoking the license for the most powerful engine on the market, so every carmaker that used it has to park those cars overnight while older engines keep running.

SINGLE-VENDOR MODEL RISK IS NOW A COMPLIANCE ISSUE

A government action just demonstrated that a single frontier vendor can be taken offline in hours. For Incserve, the lesson is that any workflow built on one AI vendor needs a documented fallback. If your filing systems or client portals depend on a specific model tier, map alternatives before the next policy shift.

2 House Bipartisan Draft Would Freeze State AI Laws for Three Years

Roll Call, FedScoop, Rep. Obernolte, June 4

Representatives Jay Obernolte and Lori Trahan released a 269-page bipartisan discussion draft called the Great American Artificial Intelligence Act. It would preempt state laws that regulate AI model development for three years while letting states continue regulating how AI is deployed. Frontier developers above \$500 million in revenue would be required to publish safety frameworks and undergo third-party audits.

For three years this would replace a growing patchwork of state AI rules with a single federal floor on model development, while leaving deployment rules intact. Regulated firms tracking Colorado's AI Act and similar state laws would gain more uniformity on development, but the preemption provision is the most contested part and may not survive.

IN PLAIN TERMS

Like the federal government setting one national building code while still letting each city decide how those buildings can be occupied and used.

FEDERAL AI PREEMPTION WOULD RESHAPE STATE COMPLIANCE

If federal preemption passes, the patchwork of state AI development rules that Incserve helps clients navigate would simplify for three years. But state deployment rules would remain, meaning the compliance landscape still requires jurisdiction-specific attention. Watch whether the preemption clause survives committee before making any planning changes.

3 Remote-Code-Execution Flaws Hit the Most Popular AI Coding Agents

Adversa AI, Microsoft Security, Help Net Security, June 3

Researchers disclosed a cluster of serious vulnerabilities across mainstream AI coding agents including a symlink-hijack exploit that broke six agents and a one-click remote code execution reaching Claude Code, Cursor, Gemini CLI and GitHub Copilot. Microsoft

AI coding agents are now a concrete attack surface. The flaws reached the most popular tools and sometimes required only one poisoned file. Any organization piloting agentic AI needs the same controls used for other privileged software: least privilege, sandboxing, and review of what an agent can touch.

IN PLAIN TERMS

Like discovering that a popular new power

AGENT SECURITY IS A REGISTERED-AGENT COMPLIANCE ITEM

Before deploying any agent tool that touches filing systems, corporate records, or state submissions, require sandboxing, access logs, and explicit audit trails. For Incserve, this is the kind of cyber risk that translates directly into fiduciary exposure if a breach compromises client entity data.

THE WEEK IN ONE LINE

The federal government used export controls to shut off frontier AI models overnight, while a bipartisan House draft proposed freezing state AI development rules, and concrete vulnerabilities exposed the security gap around AI agents. For Incserve, the through-line is that the regulatory and security infrastructure around AI is moving from advisory to enforceable, and single-vendor dependence is now a compliance question.